Summarize the Scribd Veltrix guide's step-by-step rules for entries and exits

Based on the **Veltrix FVG ORB SMC Strategy** document, here are the concise step-by-step rules for entries and exits:[1]

Entry Rules

Pre-Entry Requirements

1. **Timeframe Setup:** Use H4 to confirm overall trend bias, M30 for entry execution.[1]
2. **Mark Opening Range:** Identify high and low of the first 60 minutes of London (2:00-3:00 AM EST) or New York (8:30-9:30 AM EST) session.[1]

Entry Trigger Sequence (All 3 Must Align)

Step 1 - Breakout Confirmation

- Price must break above OR high (for short setup) or below OR low (for long setup).[1]
- Wait for a retest or rejection of the broken ORB zone—do not enter on the first breakout.[1]

Step 2 - Fair Value Gap (FVG) Formation

- After breakout, identify the FVG (gap between a large displacement candle and smaller candles).[1]
- Wait for price to pull back into this FVG zone—this is where institutions add positions.[1]

Step 3 - SMC Confirmation

- Look for **Break of Structure (BOS)** or **Change of Character (CHoCH)** within the FVG zone.[1]
- Entry is valid only after BOS/CHoCH confirms directional shift.[1]
- Enter when a **bullish or bearish engulfing candle** forms in the FVG.[1]

Entry Execution

- Execute on M30 chart when all three conditions align.[1]
- Best entry: bullish/bearish engulfing candle closes within the FVG after structure shift.[1]

Exit Rules

Stop-Loss Placement

- Place stop-loss **below the recent swing low** (for long trades) or **above the recent swing high** (for short trades).[1]
- Alternative: Place SL just beyond the FVG boundary for tighter risk.[1]

Take-Profit Targets

- **Minimum TP:** 1:2 risk-reward ratio.[1]
- **Optimal TP:** 1:3 risk-reward ratio.[1]
- Target the next significant liquidity level or opposite side of the opening range.[1]

Trade Management

- Consider partial profit-taking at 1:2 R:R.[1]
- Trail stop-loss to breakeven after TP1 is hit.[1]

Critical Rules

- **Never trade against H4 bias**—entries must align with higher timeframe trend.[1]
- **All three elements required:** ORB breakout + FVG pullback + BOS/CHoCH confirmation.[1]
- **Risk per trade:** Maximum 1-2% of account balance.[1]
- **Instrument:** Optimized specifically for XAU/USD (Gold).[1]

This systematic approach ensures high-probability entries by waiting for institutional footprints (FVG + structure shift) rather than trading impulsive retail breakouts.[1]

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1. https://www.scribd.com/document/890529936/Veltrix-FVG-ORB-SMC-Strategy